

# Executive Summary

Ask any organization if their culture supports performance leadership, and you'll get a yes. Ask if their performance management processes actually work, and that answer changes fast.

There may be an expectation among organizations that enthusiasm translates to impact, but the reality is much more sobering. While a majority (59%) agree or strongly agree their culture supports performance leadership, less than a third of organizations are highly or very effective in performance management (PM). And just a quarter give their performance leadership a high effectiveness rating.

Managers are stuck at the center of the problem. Nearly three-quarters of organizations say managers lack the skills to coach and develop employees, and only 36% say managers are skilled at setting goals.

Artificial intelligence adoption is poised to help the situation; 59% of organizations plan to use AI to help write performance reviews, though AI adoption alone can't cure a broken system. To improve PM processes, organizations will need to invest in manager training, build accountability into the everyday process, increase the accuracy of performance reviews, and build trust in PM tools.

This report explores the trends in performance management, discusses the challenges organizations are facing and recommends strategies based on the findings to help organizations improve their performance management processes.

## About the Survey

"HR.com's The Future of Managing and Leading Performance 2026" survey ran from April to July 2026. We gathered responses from 177 HR professionals in multiple industry verticals.

Respondents are located all over the world, but most of them reside in North America, especially the United States. The participants represent a broad cross-section of employers by number of employees, ranging from small businesses to enterprises with 20,000+ employees. Two-thirds of the respondents represent midsized and large organizations.

## Major Findings

The following are the major research findings from our study:

### Major Finding 1

#### **A clear divide remains between managing and leading performance.**

- Only 30% rate their organization as highly or very highly effective in performance management, and just 25% say the same for performance leadership.
- Among organizations without a supportive culture, lack of leadership training (77%) and managers lacking the skills to coach and develop employees (74%) are cited as the top barriers.

### Major Finding 2

#### **Formal performance management processes are nearly universal, but few fully deliver on their objectives.**

- Two-thirds of organizations have a structured, formalized PM process, and just 2% have no process at all.
- The top objectives of PM are to:
  - ▶ help employees learn and grow
  - ▶ boost communication between employees and managers
  - ▶ meet organizational requirements (e.g., goals, compliance)
- Only 32% say their process accurately portrays employee performance, and fewer than half find it easy to understand.

### Major Finding 3

#### **Compliance-driven and company culture outcomes still outweigh growth-oriented ones.**

- Better legal protection and reinforced company culture are the two most common outcomes of performance management.
- Just 43% report that their ability to manage and lead performance results in improved employee experience.
- A large majority of organizations use performance management technology to facilitate reviews (74%) and for goal tracking (72%).
- Far fewer use PM technology to support learning and development (31%).

Major  
Finding

## 4

**Feedback happens often, but formal appraisals still anchor the performance cycle.**

- In over 70% of organizations, work-related feedback is given at least once a quarter.
- Formal appraisals remain far less frequent, with 57% conducted annually, 19% semi-annually, and only 16% more often than semi-annually.
- Two-thirds of respondents who don't view performance management as relationship-building say it instead feels like an obligation to get through.
- Nearly half (47%) point to a lack of manager skill in giving feedback as part of the problem.

Major  
Finding

## 5

**Manager capability and accountability remain critical weaknesses.**

- Only 36% of respondents say managers are skilled at setting goals and just 29% say the same about having conversations about performance and behaviors.
- However, just 37% of managers have received adequate training in performance management, and nearly a quarter of organizations still don't hold managers accountable for PM activities in any specific way.
- Tracking whether managers complete formal appraisals remains the top accountability method (47%), but it's down from three-fifths last year.

Major  
Finding

## 6

**Interest in AI for performance management is accelerating faster than actual adoption.**

- Half of organizations report they are not currently using AI for PM, though 43% expect PM to become more AI-enabled.
- Concerns about accuracy or reliability (34%) and data privacy or ethics (32%) remain the top AI barriers, but adoption is still rising; 59% plan to use AI to help write performance reviews, up 21 percentage points from last year.
- For a third of organizations, AI hasn't reshaped performance expectations at all, and another third simply don't know if or how it has.

Major  
Finding

## 7

**Compared to laggards, performance management leaders are:**

- more than twice as likely to say PM improves relationships between managers and employees (82% vs. 38%).
- much more likely to hold managers accountable through:
  - ▶ manager KPIs (50% vs. 12%)
  - ▶ employee feedback (54% vs. 13%)
  - ▶ engagement/retention tracking (54% vs. 17%)
- more likely to use diverse performance metrics, including:
  - ▶ goal achievement (81% vs. 54%)
  - ▶ 360-degree feedback (50% vs. 12%)
- more than twice as likely to plan on using AI for personalized performance feedback (47% vs. 20%).

Please note that the findings and recommendations contained in this report are informational only. Nothing in this report should be construed as constituting legal opinions or advice. Please consult an attorney if you have questions about the legal requirements, rules, or regulations associated with any content discussed in this report.